

SUITABILITY

Candlestick pattern-based trading is not suitable for all securities. We are trying to understand the balance of power between bears and bulls in the market and recognizing the one with more control at the moment. This only makes sense when no single individual or group can influence the asset price on their own. As a result, we should apply candlestick patterns only on indices, large-cap companies, commodities and currency exchange. No single person can influence these asset prices and as a result, we get a reliable picture of balance between bulls and bears and their control over the market.

On the contrary, in small-cap companies and few mid-cap companies, a significant investor or promoter can affect the prices and as a result, we do not understand the correct balance between bulls and bears. Therefore, we will not use candlestick patterns on smaller companies where one individual can influence the prices.



Too many people, hence one participant can't influence the market prices.